

# JUBILEE HOLDINGS LIMITED

AUDITED CONSOLIDATED RESULTS FOR THE YEAR ENDED  
31 DECEMBER 2018

Jubilee  
HOLDINGS



# THE JUBILEE INSURANCE COMPANY OF KENYA LIMITED

AUDITED RESULTS FOR THE YEAR ENDED  
31 DECEMBER 2018

Jubilee  
INSURANCE

## AUDITED SUMMARY CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

|                                         | 2018<br>KShs '000 | 2017<br>KShs '000 |
|-----------------------------------------|-------------------|-------------------|
| Gross earned premiums                   | 26,706,654        | 28,328,848        |
| Outward reinsurance                     | (9,385,170)       | (9,134,984)       |
| <b>Net insurance premium revenue</b>    | <b>17,321,484</b> | <b>19,193,864</b> |
| Other revenue                           | 10,690,360        | 12,079,284        |
| <b>Total income</b>                     | <b>28,011,844</b> | <b>31,273,148</b> |
| Net insurance benefits and claims       | (15,929,910)      | (19,653,896)      |
| Total expenses and commission           | (8,011,439)       | (7,640,984)       |
| <b>Result of operating activities</b>   | <b>4,070,495</b>  | <b>3,978,268</b>  |
| Share of results of associates          | 1,339,513         | 1,182,702         |
| <b>Group profit before tax</b>          | <b>5,410,008</b>  | <b>5,160,970</b>  |
| Tax expense                             | (1,233,057)       | (930,660)         |
| <b>Group profit after tax</b>           | <b>4,176,951</b>  | <b>4,230,310</b>  |
| Other comprehensive income for the year | (566,338)         | 252,246           |
| <b>Total comprehensive income</b>       | <b>3,610,613</b>  | <b>4,482,556</b>  |
| Earnings per share (KShs)               | 52.5              | 54.3              |

## AUDITED SUMMARY CONSOLIDATED STATEMENT OF FINANCIAL POSITION

|                           | 2018<br>KShs '000  | 2017<br>KShs '000  |
|---------------------------|--------------------|--------------------|
| <b>Equity</b>             |                    |                    |
| Share capital             | 362,365            | 362,365            |
| Other reserves            | 4,172,826          | 3,096,997          |
| Retained earnings         | 21,069,413         | 19,512,980         |
| Proposed dividends        | 579,784            | 579,784            |
| Non controlling interest  | 1,886,979          | 1,678,524          |
| <b>Total equity</b>       | <b>28,071,367</b>  | <b>25,230,650</b>  |
| Represented by:           |                    |                    |
| <b>Assets</b>             |                    |                    |
| Fixed assets              | 466,581            | 439,528            |
| Investment assets         | 80,355,983         | 72,853,577         |
| Insurance assets          | 14,368,505         | 15,463,249         |
| Other assets              | 1,788,601          | 1,414,392          |
| Cash and cash equivalents | 17,187,969         | 14,796,784         |
| <b>Total assets</b>       | <b>114,167,639</b> | <b>104,967,530</b> |
| <b>Liabilities</b>        |                    |                    |
| Insurance liabilities     | 82,931,039         | 77,101,703         |
| Other liabilities         | 3,165,233          | 2,635,177          |
| <b>Total liabilities</b>  | <b>86,096,272</b>  | <b>79,736,880</b>  |
| <b>Net assets</b>         | <b>28,071,367</b>  | <b>25,230,650</b>  |

## AUDITED SUMMARY CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

|                                    | Share Capital<br>KShs '000 | Retained Earnings<br>KShs '000 | Other<br>KShs '000 | Total Equity<br>KShs '000 |
|------------------------------------|----------------------------|--------------------------------|--------------------|---------------------------|
| <b>Year ended 31 December 2017</b> |                            |                                |                    |                           |
| At start of year                   | 329,423                    | 16,352,839                     | 4,739,407          | 21,421,669                |
| Profit for the year                | -                          | 3,932,142                      | 298,168            | 4,230,310                 |
| Bonus issue                        | 32,942                     | (32,942)                       | -                  | -                         |
| Transfer from reserves             | -                          | (86,802)                       | (262,054)          | (348,856)                 |
| Net dividend                       | -                          | (652,257)                      | 579,784            | (72,473)                  |
| <b>At end of year</b>              | <b>362,365</b>             | <b>19,512,980</b>              | <b>5,355,305</b>   | <b>25,230,650</b>         |
| <b>Year ended 31 December 2018</b> |                            |                                |                    |                           |
| At start of year                   | 362,365                    | 19,512,980                     | 5,355,305          | 25,230,650                |
| Profit for the year                | -                          | 3,806,450                      | 370,501            | 4,176,951                 |
| IFRS 9 initial adoption            | -                          | (87,406)                       | 35,765             | (51,641)                  |
| Transfer to reserves               | -                          | (1,510,354)                    | 298,234            | (1,212,120)               |
| Net dividend                       | -                          | (652,257)                      | 579,784            | (72,473)                  |
| <b>At end of year</b>              | <b>362,365</b>             | <b>21,069,413</b>              | <b>6,639,589</b>   | <b>28,071,367</b>         |

## AUDITED SUMMARY CONSOLIDATED STATEMENT OF CASH FLOWS

|                                                                                        | 2018<br>KShs '000 | 2017<br>KShs '000 |
|----------------------------------------------------------------------------------------|-------------------|-------------------|
| Cash flows generated from operating activities                                         | 2,009,964         | 4,015,068         |
| Cash flows used in investing activities                                                | 1,098,473         | 3,014,206         |
| Cash flows used in financing activities                                                | (652,257)         | (566,606)         |
| <b>Increase in cash and cash equivalents</b>                                           | <b>2,456,180</b>  | <b>6,562,668</b>  |
| Cash and cash equivalents at start of year                                             | 14,796,784        | 8,326,849         |
| Exchange (loss)/gain on translation of cash and cash equivalents in foreign currencies | (64,995)          | 7,267             |
| <b>Cash and cash equivalents at end of year</b>                                        | <b>17,187,969</b> | <b>14,796,784</b> |

## SUMMARY OF DIRECTORS' REMUNERATION REPORT

During the year, Jubilee Holdings Limited paid KShs 3.42 million (2017: KShs 3.75 million) as Directors' emoluments.

|                              |                                              |                                                           |                                                     |                                                       |                                                       |
|------------------------------|----------------------------------------------|-----------------------------------------------------------|-----------------------------------------------------|-------------------------------------------------------|-------------------------------------------------------|
| NO. 1 INSURER IN EAST AFRICA | GWP<br><b>34.8</b><br>BILLION<br>UP BY 810 M | PROFIT BEFORE TAX<br><b>5.4</b><br>BILLION<br>UP BY 250 M | NO. 1 INSURER IN UGANDA<br><b>30%</b><br>PBT GROWTH | NO. 1 INSURER IN TANZANIA<br><b>12%</b><br>GWP GROWTH | INSURANCE RESULT<br><b>2.9</b><br>BILLION<br>UP BY 9% |
|------------------------------|----------------------------------------------|-----------------------------------------------------------|-----------------------------------------------------|-------------------------------------------------------|-------------------------------------------------------|

## INDEPENDENT AUDITOR'S REPORT ON THE SUMMARY FINANCIAL STATEMENTS TO THE SHAREHOLDERS OF JUBILEE HOLDINGS LIMITED

### Opinion

We have audited the summary financial statements of Jubilee Holdings Limited, which comprise the summary consolidated statement of financial position at 31 December 2018 and the summary consolidated income statement, summary consolidated statements of other comprehensive income, changes in equity and cash flows for the year then ended which are derived from the audited financial statements of Jubilee Holdings Limited and its subsidiaries (together, the "Group") for the year ended 31 December 2018.

In our opinion the accompanying summary financial statements are consistent, in all material respects, with the audited financial statements of the Group which are prepared in accordance with International Financial Reporting Standards (IFRS) and the Kenyan Companies Act, 2015.

The summary directors' remuneration report is derived from the directors' remuneration report for the year ended 31 December 2018.

### Summary financial statements and directors' remuneration report

The summary financial statements do not contain all the disclosures required by International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015. In addition, the summary directors' remuneration report does not contain all the disclosures required by the Companies (General) (Amendment) (No. 2) Regulations, 2017.

Reading the summary financial statements, the summary directors' remuneration report and the auditor's report thereon, therefore, is not a substitute for reading the audited financial statements, the directors' remuneration report and the auditor's report thereon. The summary financial statements, the summary directors' remuneration report and the audited financial statements do not reflect the effects of events that occurred subsequent to the date of our report on the audited financial statements.

### The audited financial statements and our report thereon

We expressed an unmodified audit opinion on the audited financial statements in our audit report dated 30 April 2019 and also confirmed that the auditable part of the directors' remuneration report was prepared in accordance with the Kenyan Companies Act, 2015. That audit report also includes the communication of key audit matters. Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period.

### Directors' responsibility for the summary financial statements

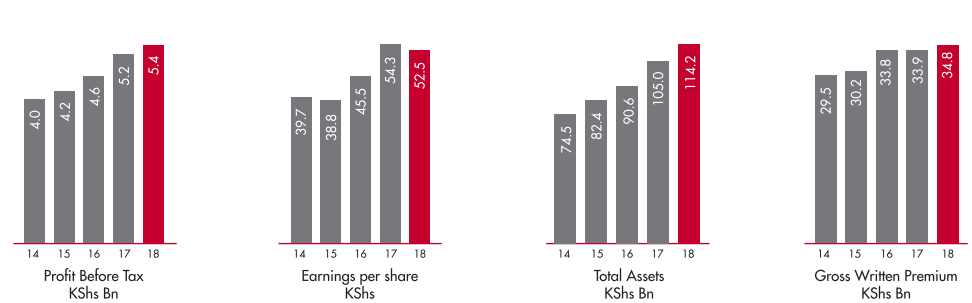
The directors are responsible for the preparation of the summary financial statements and the summary directors' remuneration report in accordance with the International Financial Reporting Standards and Kenyan Companies Act 2015.

### Auditor's responsibility

Our responsibility is to express an opinion on whether the summary financial statements and the summary directors' remuneration report are consistent, in all material respects, with the audited financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), Engagements to report on summary financial statements.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Bernice Kimacia - Practicing Certificate Number 14,57.

### PricewaterhouseCoopers Certified Public Accountants



### Dividend

The Directors recommend, for approval at the next Annual General Meeting, the payment of a final dividend of KShs. 8.00 per share, subject to withholding tax where applicable making a total dividend for the year of KShs. 9.00 per share or 180% (2017:180%). The dividend will be paid on or about 25 July 2019 to members on the Register of Members at the close of business on 25 June 2019, subject to approval at the Annual General Meeting.

### Annual General Meeting

The 81st Annual General Meeting of the Shareholders will be held at the Nairobi Serena, Kenyatta Avenue on Tuesday 25 June 2019 at 11.00 a.m. Notice of the AGM will be issued in due course.

The full set of financial statements (including the Agenda for the AGM and Proxy forms) will be available on the Company's website in due course. Copies of the financial statements will be availed to Shareholders on request. Requests can be sent to the Shares Registry, Jubilee Insurance House 5th Floor, Wabera Street Nairobi or to the Shares Registry, P.O. Box 30376 00100 Nairobi or to info@jubileekkenya.com.

By order of the Board

Nizar Juma  
Chairman  
29 April 2019

Margaret Muhuni-Kipchumba  
Company Secretary

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## JUBILEE INSURANCE SINCE 1937

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Also winner of:  
■ General Insurance Company  
of the Year

## STATEMENT OF MOVEMENT IN DEPOSIT ADMINISTRATION FOR THE YEAR ENDED 31 DECEMBER 2018

Amounts payable under deposit administration contracts

|                                   | 2018<br>KShs '000 | 2017<br>KShs '000 |
|-----------------------------------|-------------------|-------------------|
| As at 1st January                 | 41,262,186        | 35,101,532        |
| Pension fund deposits received    | 7,642,301         | 6,681,994         |
| Surrenders and annuities paid     | (5,678,517)       | (4,610,887)       |
| Interest payable to policyholders | 3,473,854         | 4,089,547         |
| <b>As at 31st December</b>        | <b>46,699,824</b> | <b>41,262,186</b> |

## KEY RATIOS

|                        | General Insurance Business 2018 | Long Term Insurance Business 2018 | Total Insurance Business 2018 | Total Insurance Business 2017 |
|------------------------|---------------------------------|-----------------------------------|-------------------------------|-------------------------------|
| Capital Adequacy Ratio | 333%                            | 125%                              | 250%                          | 250%                          |
| Solvency Ratio         | 154%                            | 111%                              | 134%                          | 150%                          |
| Claims Ratio           | 60%                             | 69%                               | 65%                           | 61%                           |
| Expense Ratio          | 27%                             | 15%                               | 21%                           | 21%                           |

## The Jubilee Insurance Company of Kenya Limited.

The above Statement of Comprehensive Income and Statement of Financial Position are extracts from the financial statements of the company for the year ended 31 December, 2018 which were audited by PwC Kenya and received an unqualified opinion. The financial statements were approved by the Board of Directors on 29 April, 2019 and signed on its behalf by:

Nizar Juma  
Chairman

Karim Jetha  
Director

Philip Kimani  
Principal Officer

## STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2018

|                                                              | Short Term Business<br>2018<br>KShs' 000 | Long Term Business<br>2018<br>KShs' 000 | Total Business<br>2018<br>KShs'000 | Total Business<br>2017<br>KShs'000 |
|--------------------------------------------------------------|------------------------------------------|-----------------------------------------|------------------------------------|------------------------------------|
| <b>Gross written premium</b>                                 | <b>11,089,510</b>                        | <b>5,010,948</b>                        | <b>16,100,458</b>                  | <b>17,437,960</b>                  |
| Gross earned premium                                         | 11,103,259                               | 5,010,948                               | 16,114,207                         | 18,865,558                         |
| Less: Outward reinsurance                                    | (3,528,100)                              | (457,303)                               | (3,985,403)                        | (4,206,999)                        |
| <b>Net earned premium</b>                                    | <b>7,575,159</b>                         | <b>4,553,645</b>                        | <b>12,128,804</b>                  | <b>14,658,559</b>                  |
| Commission income                                            | 938,552                                  | 32,910                                  | 971,462                            | 665,866                            |
| Interest income                                              | 537,032                                  | 6,177,738                               | 6,714,770                          | 5,605,875                          |
| Investment income other than interest income                 | 47,547                                   | 392,935                                 | 440,482                            | 418,611                            |
| Other income                                                 | 13,456                                   | 11,084                                  | 24,540                             | 19,691                             |
| Fair value gain on equity investments through profit or loss | 27,058                                   | 21,830                                  | 48,888                             | 2,880,471                          |
| <b>Total income net of reinsurance</b>                       | <b>9,138,804</b>                         | <b>11,190,142</b>                       | <b>20,328,946</b>                  | <b>24,249,073</b>                  |
| Claims and policyholders' benefits payable                   | 6,606,984                                | 8,614,244                               | 15,221,228                         | 18,621,361                         |
| Insurance claims recoverable from reinsurers                 | (1,722,774)                              | (501,614)                               | (2,224,388)                        | (2,194,268)                        |
| <b>Net insurance benefits and claims expense</b>             | <b>4,884,210</b>                         | <b>8,112,630</b>                        | <b>12,996,840</b>                  | <b>16,427,093</b>                  |
| Operating and other expenses                                 | 1,789,821                                | 1,062,453                               | 2,852,274                          | 2,755,045                          |
| Commission expenses                                          | 1,163,542                                | 866,764                                 | 2,030,306                          | 2,271,636                          |
| <b>Total expenses</b>                                        | <b>2,953,363</b>                         | <b>1,929,217</b>                        | <b>4,882,580</b>                   | <b>5,026,681</b>                   |
| <b>Results of operating activities</b>                       | <b>1,301,231</b>                         | <b>1,148,295</b>                        | <b>2,449,526</b>                   | <b>2,795,298</b>                   |
| Share of profits of associates                               | 152,067                                  | 260,209                                 | 412,276                            | 332,609                            |
| <b>Profit before income tax</b>                              | <b>1,453,298</b>                         | <b>1,408,504</b>                        | <b>2,861,802</b>                   | <b>3,127,907</b>                   |
| Income tax expense                                           | (417,112)                                | (348,714)                               | (765,826)                          | (687,313)                          |
| Profit attributable to Equity holders                        | 1,036,186                                | 1,059,790                               | 2,095,976                          | 2,440,594                          |
| <b>Earnings per share (EPS)</b>                              |                                          |                                         | <b>16.77</b>                       | <b>19.52</b>                       |

## STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2018

|                                                                            | Short Term Business<br>2018<br>KShs'000 | Long Term Business<br>2018<br>KShs'000 | Total Business<br>2018<br>KShs'000 | Total Business<br>2017<br>KShs'000 |
|----------------------------------------------------------------------------|-----------------------------------------|----------------------------------------|------------------------------------|------------------------------------|
| <b>ASSETS</b>                                                              |                                         |                                        |                                    |                                    |
| Property and equipment                                                     | 62,983                                  | 49,033                                 | 112,016                            | 120,065                            |
| Intangible asset                                                           | 74,975                                  | 55,716                                 | 130,691                            | 132,214                            |
| Investment properties                                                      | -                                       | 4,458,000                              | 4,458,000                          | 4,378,402                          |
| Investment in subsidiary                                                   | 50,498                                  | -                                      | 50,498                             | 50,498                             |
| Investment in associates                                                   | 1,898,921                               | 1,963,905                              | 3,862,826                          | 3,651,040                          |
| Deferred tax asset                                                         | 211,784                                 | -                                      | 211,784                            | 101,249                            |
| Mortgage loans receivable                                                  | 45,245                                  | -                                      | 45,245                             | 77,765                             |
| Loans on life insurance policies                                           | -                                       | 846,099                                | 846,099                            | 748,142                            |
| Receivables arising out of direct insurance arrangements                   | 1,943,278                               | 236,474                                | 2,179,752                          | 2,162,750                          |
| Receivables arising out of reinsurance arrangements                        | 1,775,539                               | 215,568                                | 1,991,107                          | 2,186,939                          |
| Reinsurers share of technical provisions and reserves                      | 1,923,025                               | 216,841                                | 2,139,866                          | 2,809,418                          |
| Deferred acquisition costs                                                 | 180,738                                 | -                                      | 180,738                            | 200,964                            |
| Receivables from group companies                                           | 383,492                                 | -                                      | 383,492                            | 177,828                            |
| Other receivables                                                          | 542,386                                 | 1,344,375                              | 1,886,761                          | 565,579                            |
| Current income tax                                                         | 116,169                                 | 29,230                                 | 145,399                            | 64,403                             |
| Unquoted equity investments                                                | 624,298                                 | 3,373,178                              | 3,997,476                          | 3,157,632                          |
| Corporate bonds at amortised cost                                          | 7,159                                   | 795,779                                | 802,938                            | 904,007                            |
| Corporate bonds at fair value through profit and loss                      | -                                       | 38,460                                 | 38,460                             | -                                  |
| Government securities at amortised cost                                    | 3,833,458                               | 37,259,883                             | 41,093,341                         | 44,125,634                         |
| Government securities at fair value through profit and loss                | -                                       | 10,264,809                             | 10,264,809                         | -                                  |
| Quoted equity investments at fair value through other comprehensive income | 1,401,519                               | -                                      | 1,401,519                          | 1,079,631                          |
| Quoted equity investments at fair value through profit or loss             | -                                       | 4,945,582                              | 4,945,582                          | 6,853,606                          |
| Deposits with financial institutions                                       | 807,621                                 | 4,821,961                              | 5,629,582                          | 5,647,887                          |
| Cash and bank balances                                                     | 362,824                                 | 1,007,111                              | 1,369,935                          | 784,252                            |
| <b>Total Assets</b>                                                        | <b>16,245,912</b>                       | <b>71,922,004</b>                      | <b>88,167,916</b>                  | <b>79,979,905</b>                  |
| <b>LIABILITIES</b>                                                         |                                         |                                        |                                    |                                    |
| Payable under deposit administration contracts                             | -                                       | 46,699,824                             | 46,699,824                         | 41,262,186                         |
| Insurance contract liabilities                                             | 2,786,020                               | 18,428,512                             | 21,214,532                         | 20,294,773                         |
| Deferred tax liability                                                     | -                                       | 63,508                                 | 63,508                             | 63,508                             |
| Creditors arising out of direct insurance arrangements                     | 10,959                                  | 146,910                                | 157,869                            | 233,164                            |
| Creditors arising out of reinsurance arrangements                          | 567,846                                 | 955                                    | 568,801                            | 997,575                            |
| Provision for unearned premium                                             | 4,124,831                               | -                                      | 4,124,831                          | 4,138,580                          |
| Payable to group companies                                                 | -                                       | -                                      | -                                  | 23,191                             |
| Other payables                                                             | 1,703,860                               | 935,140                                | 2,639,000                          | 1,062,460                          |
| Current income tax                                                         | -                                       | -                                      | -                                  | 2,961                              |
| <b>Total Liabilities</b>                                                   | <b>9,193,516</b>                        | <b>66,274,849</b>                      | <b>75,468,365</b>                  | <b>68,078,398</b>                  |
| <b>EQUITY</b>                                                              |                                         |                                        |                                    |                                    |
| Share capital                                                              | 2,000,000                               | 500,000                                | 2,500,000                          | 2,500,000                          |
| Fair value reserves                                                        | (55,799)                                | -                                      | (55,799)                           | 234,401                            |
| Statutory reserves                                                         | -                                       | 3,598,306                              | 3,598,306                          | 2,185,073                          |
| Retained earnings                                                          | 5,108,195                               | 1,548,849                              | 6,657,044                          | 6,982,033                          |
| <b>Total Equity</b>                                                        | <b>7,052,396</b>                        | <b>5,647,155</b>                       | <b>12,699,551</b>                  | <b>11,901,507</b>                  |
| <b>Total Liabilities and Equity</b>                                        | <b>16,245,912</b>                       | <b>71,922,004</b>                      | <b>88,167,916</b>                  | <b>79,979,905</b>                  |

A subsidiary of Jubilee Holdings Limited which is listed on the Nairobi Securities Exchange, Uganda Securities Exchange and Dar es Salaam Stock Exchange.